higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

MARKING GUIDELINE

NATIONAL CERTIFICATE (VOCATIONAL)

ECONOMIC ENVIRONMENT
NQF LEVEL 4

8 MARCH 2019

This marking guideline consists of 7 pages.

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SECTION A

QUESTION 1

1.1	1.1.1	D		
	1.1.2	C		
	1.1.3	C		
	1.1.4	B		
	1.1.5	A		
	1.1.6	C		
	1.1.7	D		
	1.1.8	A		
	1.1.9	D		
	1.1.10	C		
			(10 × 1)	(10)
1.2	1.2.1	False		
	1.2.2	False		
	1.2.3	True		
	1.2.4	False		
	1.2.5	True		
	1.2.6	True		
	1.2.7	True		
	1.2.8	True		
	1.2.9	True		
	1.2.10	False		
			(10 × 1)	(10)
1.3	1.3.1	R80✓ and 16✓		(2)
	1.3.2	Increased		(2)
	1.3.3	Quantity demanded decreases from 16 to 14		(2)
	1.3.4	R40 and R60	(2 × 2)	(4)
	1.3.5	R120✓✓		(2)
1.4	Decrease in supply, when the supply curve moves to the left, ✓ means the general decrease in the supply as indicated on the supply curve✓, whereas the quantity supplied is an actual ✓real value✓		(2 + 2)	(4)
1.5	When all other things remain constant✓ and the price of the product increases, the quantity demanded decreases.✓ When the price of the product decreases,✓ the quantity demanded increases.✓			(4)
				[40]

TOTAL SECTION A: 40

SECTION B

QUESTION 2

2.1 Accelerated Shared Growth Initiative for South Africa (1)

2.2 2.2.1
- Choosing its market carefully
- Linking informal and formal economics (2)

2.2.2
- LED and local participation in the economy: People at all levels of society are encouraged to help create jobs by participating in the economy.
- LED democratises all levels of society: It also helps establish principles of democracy at all levels of society.
- LED attracts investment in the local economy: It enables local people to attract investments in order to grow the local economy.
- LED works towards social and economic equity and equality: Local people, local businesses and local government work together to stimulate growth in their area.

(any other relevant answer) (4 × 3) (12)

2.2.3
- Effective use of scarce local resources
- Speeds up delivery
- Helps to attract additional funds
- Strengthens democracy and helps to overcome the legacy of apartheid
- Promotes coordination between local, provincial and national government

(any other relevant answer) (5 × 2) (10)

2.3 Net national income (1)

2.4 The government provides public goods whereas individuals, small and large corporations, supply private goods. (2 + 2) (4)

2.5
- Income of households: The higher the income of households, the more they can spend on goods and services.
- Interest rates: Lower interest rates encourage people to buy more on credit.
- Expectations: When people expect interest rates to increase, they may not want to buy on credit which decreases consumption.
- Income distribution: Lower-income earners spend more on nondurable goods whereas middle- and higher-income earners spend their income on durable goods.
- Taxes: Lower tax provides people with higher disposable income to spend on goods and services. (5 × 2) (10)

[40]

QUESTION 3

3.1 3.1.1 A market is a place for buyers and sellers to buy and sell goods for money.

3.1.2 Command economy is a system where all economic decisions are made by the government.

3.1.3 Entrepreneurship is the ability to take risks and exploit opportunities to make a profit.

3.1.4 Labour is the physical and mental efforts used to produce goods and services.

(4 × 3) (12)

3.2
- People are free to own production factors.
- People are free to buy what they want.
- People are free to enter and exit the market.
- Prices are determined by the forces of demand and supply. (4 × 2) (8)

3.3
- Life expectancy
- Education
- Per capita income (3 × 2) (6)

3.4 Industrial and trade policy is a process which enables local industries to sell goods and services to overseas markets. (2)

3.5 Positive externality relates to the unintended positive side effect caused by a producer's or consumer's action whereas negative externality relates to the negative side effect caused by a producer or consumer's action. (2 + 2) (4)

3.6
- Creation of job opportunities
- Poverty alleviation
- Redistribution of income
- Balancing payment stability
- Price stability (Any 4 × 2) (8)

[40]

QUESTION 4

4.1 4.1.1 Income
4.1.2 Factors of production/Resources
4.1.3 Output/Goods and services
4.1.4 Consumption spending
4.1.5 Savings
4.1.6 Investment
4.1.7 Taxation
4.1.8 Government spending
4.1.9 Imports
4.1.10 Exports

(10 × 1) (10)

4.2 4.2.1 Dumping
4.2.2 Import licence

(2 × 1) (2)

4.3 Telegraphic transfer (1)

4.4
- Households already in debt pay more on their debt repayments.
- They are left with less disposable income to spend.
- Consumption spending decreases.
- The production of goods and services decreases.
- Firms lay-off some employees and unemployment increases. (5)

4.5
- Transit risk cover
- Export credit insurance
- Forward exchange contract
- Currency options (4)

4.6
- They can hand the customer over to debt collectors.
- They can sue the customer by going to court to get payment.
- They can get assistance from the International Chamber of Commerce to get payment from an importer in another country.
- Report or blacklist the importer with international trade organisations
- If the customer is in a country with high political or commercial risk, the exporter may lose the money. (4 × 2) (8)

4.7 4.7.1 A forward exchange contract is an agreement that occurs now✓ between the exporter and importer✓ and states the exchange rate✓ and that the exporter will get paid when the time for payment arrives.✓ (4)

4.7.2
- The exporter gets to know exactly how much rand they will get at the time of payment.
- In the forward exchange contract the exporter and importer agree on the exchange rate and the date on which the currency exchange will be made.
- It protects the exporter against exchange-rate fluctuations.

(3 × 2) (6)
[40]

QUESTION 5

5.1 5.1.1
- Applicant
- Issuing bank
- Advising bank
- Negotiating bank/Paying bank
- Beneficiary (Any 4 × 1) (4)

5.1.2
- Applicant: Arrange for the issuing bank to open a letter of credit in favour of the beneficiary. Collect the imported goods from the freight forwarder. Pay the issuing bank when it delivers the transport and delivery documents. Collect the imported goods from the freight forwarder. Collect the imported goods from the freight forwarder.
- Issuing bank: Sends the letter of credit to the advising bank. Pay the advising bank when it sends the transport and delivery documents. Get payment from the applicant and give them the transport and delivery documents.
- Advising bank: Send the letter of credit to the beneficiary. Check the transport and delivery documents from the beneficiary. Pay the beneficiary. Send the transport and delivery documents to the issuing bank.
- Beneficiary: Send the export goods and documents to the freight forwarder. Get the correct documents back from the freight forwarder. Send the correct documents and letter of credit to the advising bank. (4 × 2) (8)

5.1.3
- Air waybill
- Commercial invoice
- Certificate of origin
- Phytosanitary certificate
- Insurance certificate
- Packing certificate (6)

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5.2
- Political risk
- Exchange-rate risk
- Selling risk
- Transportation risk
- Financial risk
- Quality risk
- Customer-related risk (Any 6 × 1) (6)

5.3 5.3.1 R13,53 × $\frac{5}{100}$ ✓ = R0,68✓
R13,53 + 0,68✓ = R14,21✓✓

5.3.2 R13,53 × $\frac{10}{100}$ ✓ = R1,35✓
R13,53 – R1,35✓ = R12,18✓✓
(2 × 5) (10)

5.4
- Imports become expensive
- Prices increase
- Other businesses may close down
- People may lose their jobs
- Less spending on other goods
- Economic decline (6)

[40]

TOTAL SECTION B: 160
GRAND TOTAL: 200

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